AUSTRALIAN FINANCIAL ADVISORY

REFERRAL INFORMATION FOR ACCOUNTANCY FIRMS

Early advice. Better options. Same accountant.

When a client is in financial distress, you are usually the first to know.

Australian Financial Advisory gives your clients early, independent support on their options, while you stay their accountant. We sit beside your practice, not in place of it.

We provide assessment and advisory services and written reports. Where a formal process or other specialist work is required, we refer to appropriately licensed practitioners within our network.

SPEAK WITH US

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jason@australianfinancialadvisory.com.au

OFFICES

Gold Coast
Brisbane
Sydney

HOURS

Monday to Friday
8:30 to 5:30
www.australianfinancialadvisory.com.au

WORKING WITH YOUR PRACTICE

Built for small and busy practices

Many accounting firms have small teams. When a client hits financial distress, you may not have the people or the specialist expertise to work through the options with them. Sending that client to a bigger firm or somewhere else can mean losing them.

We give you another option. You keep the client, and we add the expertise. We work alongside you to assess the position and guide the client through a tough period, so they have the best chance of coming back to you as a stronger business. We will not refer your client to another tax agent or accountant.

WHY REFER EARLY

Options before liquidation

By the time most directors reach a liquidator, the choices have narrowed. An early conversation keeps more of them open.

- Your client hears every realistic pathway, not just the last one
- You have somewhere to send a client in distress, whether or not you already work with an insolvency practitioner
- A business worth saving gets the chance to keep trading
- The tax, accounting and compliance work stays with your practice
- You stay informed, with your client's consent, as the matter moves forward

OUR SERVICES

What we help with

Every matter starts with an assessment. The director gets a clear, written read on where the business stands and what can realistically be done.

01
Assessment of the financial position and options

02
Small business restructuring eligibility

03
Informal restructure and turnaround options

04
Voluntary administration assessment

05
Orderly wind down where closing is the right answer

06
Director exposure review, including DPN risk and personal guarantees

07
Negotiation with commercial creditors under signed authority

08
Commercial credit file review

THE PROCESS

From first signs to clear options

Ten steps, with your firm involved from start to finish.

YOUR FIRM

Spot it and refer

1 Spot the signs
You notice insolvency indicators in a client's file.

2 Raise it with the client
You talk it through with the director.

3 Refer the client
You introduce the client to us by phone or email.

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Assess and report

4 Engagement
We meet the director and agree the engagement.

5 Client sign off
The scope is set out in writing and approved by the client before any work starts.

6 Gather the information
Up to date financials, ATO portal balances, any Director Penalty Notices, and current lending where a personal guarantee may apply.

7 Prepare the report
A written report giving the full picture, a risk profile and the potential options.

8 Options to work through
The client receives the options and decides on the path forward.

NEXT STEP

The right specialist

9 Your insolvency partner
If you work with an insolvency practitioner, the client can be referred on to them with our report.

10 Or one of ours
If you don't, we can introduce one of our licensed partners.

> Either way, we work alongside your firm. Your client's accounting and tax work stays with your practice, and we will not refer your client to another tax agent or accountant. We do not take formal appointments.

DIRECTOR PENALTY NOTICES

When company debt becomes personal

A Director Penalty Notice can make your client personally liable for the company's unpaid PAYG withholding, GST and super guarantee charge. The ATO can start recovery 21 days after the notice is issued. Resigning does not remove the liability, and penalties can be recovered from every director.

REPORTED ON TIME

Options remain open

Where the amounts were reported within 3 months of the due date (by the due date for super guarantee charge), the penalty can be remitted within the 21 days by paying in full, appointing an administrator or small business restructuring practitioner, or winding up the company.

REPORTED LATE OR NOT AT ALL

Only one way out

Where the amounts were reported late, or never reported, the only way to remit the penalty is to pay the company's debt in full. Amounts the ATO has estimated are treated as never reported.

STAYING ON TOP OF IT

What your firm can do

The 21 days run from the date the notice is issued, not the date your client opens it. Something needs to happen inside that window.

1. Keep each director's address on the ASIC register current. That is where the ATO generally sends a DPN, and the 21 days start the day it is posted there.
2. Check the client's address and contact details held by the ATO are up to date.
3. Check your firm-wide ATO portal communication history regularly for any DPN or warning letter issued to your clients.
4. Keep BAS, PAYG withholding and super reporting on time, even when the client cannot pay.
5. Call us the day a DPN appears, so every option inside the 21 days stays open.

PERSONAL ASSETS AT RISK

Could your client lose their home?

A director penalty is a personal debt. If it is not paid, the ATO can offset the director's tax refunds and take legal action against them personally. Where a director cannot pay, **personal assets, including the family home, may be at risk.**

Personal guarantees behind company loans, equipment finance and leases can put the home on the line as well. Many directors do not realise how much they have signed until a creditor calls on it. We review the director's exposure and set out the options before the window closes.

Source: Australian Taxation Office, Director penalties, last updated 16 April 2026. General information only, not tax advice.

KEY INSOLVENCY INDICATORS

When to start the conversation

These are key insolvency indicators. It's worth considering a referral when a client is:

- Carrying ATO debt that keeps growing
- Falling behind on lodgements, PAYG withholding or super
- Worried about a Director Penalty Notice or personal exposure
- Receiving letters of demand or a statutory demand
- Under sustained cash flow pressure
- Struggling to pay debts as they fall due
- Talking about closing the company
- Being told liquidation is the only option
- Running a viable business held back by old debt

If you are not sure, call us. We will tell you either way.

WHO YOU WILL DEAL WITH

Jason Baker, Director and Chartered Accountant

Your direct contact for every referral, and the person who signs each written advisory report.

Help your client act while there are still options.

If a client is under pressure, reach out. A quick conversation is all it takes to start.

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